

Alternative Allocations: Private equity opportunities in growth equity, Bobby Stevenson

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In the latest episode of the Alternative Allocations podcast series, I had the opportunity to sit down with Robert "Bobby" Stevenson to discuss private equity broadly, along with the opportunities in growth equity. We reflected on the changes in the market from peak valuations in 2021 to rising rates and inflation and our current market backdrop.

I asked Bobby about today's market environment and the changes in valuations from their peak. He noted that the best companies still remain attractive. "What I would tell you is those companies are generating multiples of their revenue from 2021 today. So, by definition, their valuations are more reasonable from a multiple perspective today."

We discussed the macro backdrop, with slowing exits (initial public offerings [IPOs] and merger and acquisitions activity), and the geopolitical and trade uncertainty. Exits have slowed dramatically from 2021. Bobby noted that, "We've seen some IPOs start to happen, particularly this summer, that have the market extremely excited."

An increase in IPO activity should provide capital back to investors, which could be deployed elsewhere. The private equity ecosystem needs capital flowing in and distributions being returned to investors. This also helps in resetting valuations.

We discussed where Bobby is seeing the most attractive opportunities in growth equity. We discussed artificial intelligence (AI) broadly and then Bobby offered some specific areas of interest from robotics, to defense and software. He noted that, "We're seeing AI being brought to bear in the defense ecosystem with a number of companies being started that are really focused on autonomous capabilities across land, air and sea forces."

Bobby also shared his views regarding opportunities in fintech. "The focus right now has really turned to stablecoins, and that's a really interesting opportunity for crypto at large." Expanding on the fintech opportunities, Bobby suggested broader changes in the banking system. "We continue to think in the fintech space that there are going to be really interesting opportunities for next generation banks that are serving consumers in the way that they want to be served, which is clearly not walking into a bank and talking to a teller."

Lastly, we discussed the challenges and opportunities in energy. "We think that there are going to be some incredibly interesting and different ways to generate, store and utilize energy over the next five to 10 years that really kind of 10 years ago were probably thought to be unnecessary to go figure out because there really was a view that there was not a lot of growth in baseline electricity demand."

Bobby painted a constructive picture regarding putting private capital to work in the coming years. After several years of slowed exits, he believes we could begin to see a return to normalcy.

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